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M.B.A. (Fourth Semester) Examination, April-May 2017

(New Course)

(Specializaiton : General)

(Management Branch)

CORPORATE STRATEGY

Time Allowed : Three hours

Maximum Marks : 80

Minimum Pass Marks : 32

Note : *Attempt all the questions. Maintaining internal choice. CASE STUDY is compulsory.*

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Unit - I

1. What do you understand by term strategy? Describe the process of strategic management in detail. 16

Or

What are the various levels at which strategy operates?

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Unit - II

2. The balance scorecard is a strategy performance management tool. Elaborate. 16

Or

Write short notes on any **two** of the following :

(a) ETOP

(b) Value chain alaysis

(c) Non-financial analysis

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Unit - III

3. Describe the G.E. Ninecell matrix technique used for analyzing corporate portfolio. 16

Or

Explain the three types of stability strategies.

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Unit - IV

4. Write a descriptive note on the nature and importance of strategic evaluation and control. 16

Or

Describe the characteristics of strategy implementation to highlight its essential nature.

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CASE STUDY

Study and analyse the given case and answer the questions : 16

Cool competitive strategies at Whirlpool India

Whirlpool India is a part of the multinational company, Whirlpool Corporation that is a global manufacturer and marketer of home appliances, with its headquarters at Michigan in the U.S.A. It is claimed to be the world's largest white goods company, a status it reached in 2006. Whirlpool Corporation has annual sales of more than $18 billion, more than 73,000 employees and more than 70 manufacturing and technology research centres around the world in 2007. Among its eleven major brands are Whirlpool, Maytag and Kitchen Aid that are produced in 13 countries and marketed to consumers in over 170 countries around the world. The initial internationalization of Whirlpool Corporation began in 1958 when it entered Brazil. Serious efforts came in the 1980s when it started adopting an aggressive strategy to be a world-class company. India was identified as a growth market sometime in the late 1980s. Entry into India was made through a joint venture with TVS Group to produce automatic washers at Pondicherry. In 1995, Kelvinator of India Limited was acquired to facilitate entry into the refrigerator market in India. A majority ownership in the joint venture with TVS led to the emergence of Whirlpool of India Limited in 1996.

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The vision of Whirlpool India articulated in 1998 is stated as : "Every home, everywhere, with pride, passion and performance." The mission statement enunciated in 2003 in "Everybody creating loyal customers for life." The objectives of innovation, operational excellence, customer-centric approach and diversified talent are claimed to be embedded within business goals, processes and work culture. In 2002, the company launched an initiative called "Whirlpool Strategic Architecture" as the implementation framework to achieve its vision and mission.

Whirlpool India is one of the popular brands of home appliances in India. The business portfolio of the company consists of four lines : air treatment, fabric care, food preparation and foodstream solutions. The product portfolio includes air conditioners, microwave ovens, refrigerators and washing machines. The company claims to hold a market share of 25 per cent in the refrigerator market, 10 per cent in the microwave oven market and 16 per cent in the washing machines market in 2006. There are three manufacturing units situated at Faridabad, Pondicherry and Pune.

Whirlpool has transformed itself from an accomplished manufacturer to a consummate marketer - a process that is said to be achieved through a brand building framework that aimed at building excellent brands and engendering customer loyalty. In doing so, the company claims to have relied on one of its core competence of

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"customer excellence", the other two being innovation and operational excellence. The transformation process has five elements of : market leadership through customer loyalty, innovation, diversity with inclusion and core competence, passion for customer excellence and operational excellence. The end result is a customer-centered organisation. These five elements form the core of the company's strategy and guides strategic planning and implementation.

The manufacturing facilities of Whirlpool India at Faridabad and at Ranjangaon near Pune, are dedicated to making refrigerators and at Pondicherry, to washing machines. All production facilities have ISO certification and have also adopted the six-sigma quality technique for quality management in 1999. Care has been taken to create adequate capacity for the long-run, along with eco-friendly technology. Regional Technology Centres at Pune and Pondicherry are involved in design engineering aimed at continual upgrades of features and styling and customisation of products. There is also a global consumer design centre for Asia based at Delhi, indicating the company's commitment to using India as a technology base for its Asian operations. The Pune based design centre has online connectivity with other Whirlpool design centres around the world, enabling optimum utilisation of modelling and analysis software. Digitalisation is a progressive process at Whirlpool India. For instance, it has incorporated digital manufacturing technology into its

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washing machine manufacturing operations. The software connects Computer Assisted Design data with assembly times and the cost of materials, simplifying the planning and ordering phase, resulting in the application of a customer-centric marketing strategy. The company website was re-launched in 2006 and was made more interactive, providing a forum not only for information but also for performing the sales functions.

Whirlpool India is a recognised export house with an export-oriented unit based at Pondicherry, to produce KitchenAid appliances for the export markets in the U.S. It is also exporting refrigerators and washing machines to South Asia, Asia-Pacific, Latin America and West Asia, Russia and East European countries and claims to be the largest exporter of home appliances from India. Exports constitute 13 per cent of the turnover of the company and reached Rs. 200 crore in 2006-2007.

The market positioning of Whirlpool India is based on the theme : "Your partner in homemaking". Customer focus drives innovations in product design and changes. Product differentiation is built on customer responsiveness for the demanding Indian consumer. An example of such responsiveness is its realisation that the Indian climate requires consumers to "attack their fridge" frequently for ice cubes. A quick-chill design was the operational response to this customer need that proved to be quite successful, along with an advertising campaign based on the theme, "Ice, Ice Baby". Other special features like

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movable trays, space for large bottles and strong body to withstand the heavy loads a typical Indian home subjects its appliances to, have driven its product changes and design.

The consumer durables or the white goods industry in India is a growing industry, albeit at a slow rate. There are strong competitors such as the multinationals LG or Samsung and strong domestic players such as Godrej and Voltas. It's a tough market for the best of marketers. The Indian consumer is hard-to-convince and demands value for money and is not swayed easily by the type built around products through advertising campaigns. Future plans of Whirlpool are mostly to concentrate on the existing businesses, except a related diversification into water purifiers where it plans to leverage its retail distribution strength. Whirlpool products are available across 11000 retail outlets in over 150 cities and towns in India. There are no new manufacturing units in the pipeline. Whirlpool India had sales of Rs. 1592 crore for the year ending March, 2007 and a net loss of Rs. 5.32 crore, an improvement over the past year's loss of Rs. 38.1 crore. It expects to turn around by 2008 through sustained productivity improvements and cost reduction.

Questions :

(i) Analyse the case to identify the type of generic business strategy or strategies Whirlpool India is adopting.

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(ii) In your opinion, what is the stage of industry development in the consumer durables industry in India? Depending on your answer, comment on whether Whirlpool India's generic business strategies are appropriate.

(iii) What aspects of internationalisation of Whirlpool India can you identify in the case? Discuss briefly.

(iv) What aspects of digitalization of Whirlpool India can you identify in the case? Discuss briefly.

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